CREDIT OPINION
Kestrel Industries, LLC — Update following review of credit metrics ahead of a proposed change in control
Corporate — Diversified Manufacturing | Senior Unsecured Notes | Moody's
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Summary

Kestrel Industries is a mid-sized diversified manufacturer whose senior unsecured notes carry Moody's B1 rating with a Negative outlook. The rating reflects the company's leverage profile, which we assess on our own methodology-adjusted basis as elevated for the B1 category, set against a stable base of operating cash flow and a manageable near-term maturity schedule. The Negative outlook reflects event risk associated with a publicly announced proposed acquisition of the company by a financial sponsor, which if consummated on the terms currently contemplated would increase leverage further and could constitute a Rating Event under the notes' own change-of-control provisions if it coincides with a sufficient decline in the company's rating from either of the two agencies that currently rate the notes.

Credit strengths

» Diversified end-market exposure across the company's manufacturing base, which has limited the earnings volatility typical of a single-end-market industrial credit.
» A long-tenured principal manufacturing facility, financed in part by a municipal industrial revenue bond carrying an unconditional corporate guarantee, evidencing a stable, long-standing operating footprint rather than a recently assembled asset base.
» A manageable near-term maturity wall: the notes are not optionally redeemable by the company before their first call date, limiting near-term refinancing risk independent of market conditions.
» Covenant headroom under the company's secured revolving credit facility that the company's own compliance certifications currently report as adequate, providing some cushion against a moderate earnings shortfall.

Credit challenges

» Leverage on our own methodology-adjusted basis running above what we consider typical for the B1 rating category, reflecting both our gross (not cash-netted) debt convention and our capitalization of operating leases, neither of which the company's own credit-agreement leverage test applies in the same way.
» Reliance, under the company's secured credit facility, on run-rate cost-savings and revenue -enhancement credit toward covenant compliance that has not yet been fully realized in reported results, a common feature of recently-negotiated leveraged credit agreements that we do not treat as realized until it appears in trailing results.
» Event risk associated with the pending change-of-control transaction, including uncertainty over the sponsor's intended capital structure and financial policy following any closing.
» Modest scale relative to higher-rated diversified industrial peers, which limits the company's ability to absorb a sustained downturn in any one of its end markets without additional leverage.

Rating outlook

The Negative outlook reflects the pending change-of-control transaction and the leverage trajectory we would expect if it closes on the terms publicly disclosed to date. We would likely stabilize the outlook if the transaction is abandoned, or if it closes on terms that preserve leverage within the current rating's tolerance, with a credible deleveraging path toward the low end of that tolerance within twelve to eighteen months.

Factors that could lead to an upgrade

» Moody's-adjusted gross Debt/EBITDA sustained below 4.50x.
» Moody's-adjusted EBITDA margin sustained above current levels alongside continued diversification of the end-market mix.
» Resolution of the pending change-of-control transaction on terms that preserve or improve credit quality, including a sponsor financial policy consistent with sustained deleveraging.

Factors that could lead to a downgrade

» A deterioration in Moody's-adjusted gross Debt/EBITDA that we judge unlikely to reverse within twelve to eighteen months.
» A weakening of liquidity, including reduced headroom under the secured revolving credit facility's own financial covenants.
» Closing of the pending change-of-control transaction on terms that increase leverage materially beyond what is currently contemplated, or that indicate a materially more aggressive sponsor financial policy than the company's current practice.

Recent developments

On 12 March 2026, Kestrel Industries's owner confirmed that it had received and was evaluating a proposal from a financial sponsor to acquire the company in a leveraged transaction. The proposal, as publicly described, contemplates funding through a combination of sponsor equity, an increased draw under a secured revolving credit facility and an incremental secured term loan, with the company's existing senior unsecured notes and its municipal conduit financing both expected to remain outstanding rather than be refinanced at closing. We have not yet seen a signed purchase agreement or a finalized financing commitment, and this report does not reflect any information that has not been made public.

We note, for the avoidance of doubt, that the views expressed in this report reflect our own independent analysis of publicly available information and materials made available to us directly by the company in the ordinary course of surveillance. We have not been provided with, and this report does not rely on, any private financing materials prepared by any party in connection with the proposed transaction; any such materials, if they exist, have not been shared with us and form no part of our analysis.

We will continue to monitor public disclosures as the proposed transaction progresses, and will update this rating, or place it under review, as warranted once a definitive agreement is signed, financing terms are disclosed, or the proposal is withdrawn. Consistent with our general practice, this surveillance action does not attempt to anticipate deal terms that have not yet been disclosed, and we would rather revisit our view promptly once real terms exist than speculate about a transaction structure that may still change materially before signing.

Key Indicators

Metric	FY2023	FY2024	FY2025	LTM Jun-2026	Moody's 12-18mo Forward View
Profitability					
Moody's-adjusted EBITDA margin	13.1%	13.6%	14.0%	14.35%	Stable
Leverage					
Moody's-adjusted EBITDA	$37,802,330.00	$39,314,423.00	$40,887,000.00	$40,887,000.00	Stable
Moody's-adjusted gross Debt/EBITDA	5x	5x	5x	5.43x	Stable to Improving
Coverage					
Moody's-adjusted (FFO + Interest Expense)/Interest Expense	3.1x	3.3x	3.6x	3.6x	Stable
Liquidity					
(CFO – capital expenditures)/Debt	5.8%	6.4%	6.9%	6.9%	Stable

Liquidity and leverage

Kestrel Industries maintains adequate liquidity, supported by internally generated cash flow and availability under its secured revolving credit facility. The facility's own financial covenants are tested on the credit agreement's covenant-defined basis, which is narrower than and produces a lower reading than our own gross, lease-capitalized leverage measure discussed above; we discuss the source of that difference in the methodology section below.

Peer median comparator	Peer median	Kestrel Industries
Moody's-adjusted gross Debt/EBITDA	4.90x	5.43x
Moody's-adjusted EBITDA margin	13.5%	14.35%

Kestrel Industries's Moody's-adjusted leverage sits modestly above the single-B peer median shown above, consistent with the Negative outlook discussed earlier.

ESG considerations

Moody's Investors Service's Credit Impact Score (CIS) for Kestrel Industries is CIS-3, reflecting the net effect of Environmental, Social and Governance considerations on the current rating and outlook. The CIS is not itself a rating; it summarizes how much the issuer-profile scores below have moved the rating from what it would otherwise have been on financial metrics alone.

Environmental issuer profile score: E-3. The company's manufacturing operations carry moderate exposure to physical climate risk and to the costs of environmental compliance typical of its sector; capital expenditure attributable specifically to environmental compliance has not been a material driver of the company's investment program to date.

Social issuer profile score: S-3. Social risk is moderate and centers on workforce safety and retention at the company's principal manufacturing facility; the company has not disclosed any material product-safety or customer-relations issue that we would treat as a distinct rating driver.

Governance issuer profile score: G-3. Governance risk reflects concentrated private ownership and the financial-policy uncertainty created by the pending change-of-control transaction discussed above, partially offset by the company's continued, timely compliance reporting under its existing debt agreements.

Rating methodology and scorecard factors

Moody's Investors Service assigns and monitors this rating under its Manufacturing Industry rating methodology methodology, which combines the weighted quantitative factors below with analyst judgment applied through the notching and adjustment steps the methodology itself specifies.

Measure	Weight	Sub-Score
Scale	20%	Ba
Business Profile	20%	Baa
Leverage and Coverage	40%	B
Financial Policy	20%	Ba

Scorecard-Indicated Outcome: Ba3

Assigned Rating: B1

The Assigned Rating sits one notch below the Scorecard-Indicated Outcome. This reflects analyst judgment applied outside the scorecard's mechanical output, principally the event risk associated with the pending change-of-control transaction discussed above and our view that near-term financial-policy uncertainty is not fully captured by the scorecard's trailing-metric inputs. The scorecard's mechanical output and the rating we actually assign are permitted to diverge under our methodology; where they do, the Assigned Rating governs.

Our Leverage and Coverage sub-factor is computed on Moody's own adjusted EBITDA and our own gross, lease-capitalized debt convention, described in the Key Indicators exhibit above. This is an agency-specific adjustment to a GAAP starting point, made under our published methodology and independent of any addback, credit or convention the company's own credit agreement applies for covenant-compliance purposes; the downgrade trigger we discuss below is tested on the credit agreement's own covenant-defined leverage, not on our adjusted figure, and the two measures are not interchangeable.

For reference, the currently published downgrade trigger applicable to Kestrel Industries's rating is a pro forma Total Net Leverage Ratio, calculated on the credit agreement's own covenant-defined basis (not on our adjusted basis above), in excess of 4.80x. A decline of the requisite number of notches from either rating agency that rates the notes, occurring within the window the indenture's own Rating Event definition specifies around the change-of-control transaction discussed above, could give rise to noteholder rights under that definition; this report does not itself determine whether that definition's timing or notch conditions are satisfied, which is a question of indenture construction outside this report's scope.

Other Ratings

The notes also carry an independently assigned B+ rating from S&P Global Ratings, on S&P's own rating scale and under S&P's own methodology; see S&P's own published rating action for that agency's own analysis. The two agencies' ratings and adjusted-credit measures are prepared independently and are not intended to be combined or averaged.

Rating History

Date	Action	Rating	Outlook
15 June 2023	Assigned at issuance	B1	Stable
18 March 2026	Outlook revised	B1	Negative
22 June 2026	Affirmed (this report)	B1	Negative

Industry overview

The diversified manufacturing sector in which the company competes has, over the trailing two years, experienced moderate input-cost volatility, a gradual normalization of order backlogs following the post-pandemic restocking cycle, and continued customer demand for supply-base diversification away from single-region sourcing. We view these as sector-wide, cyclical and structural forces respectively, none of which is specific to the company, but each of which informs how we weight the company's own Business Profile sub-factor in the scorecard below.

Rated peers in this sector span a wide range of scale, from small, single-plant operators comparable in size to the company through large, multi-billion-dollar diversified manufacturers several rating categories higher. We consider the company's own scale, discussed under the Scale sub-factor below, to be at the smaller end of the single-B/low-Ba range that is typical for a sponsor-owned or sponsor-target manufacturing credit of this kind.

Consolidation activity in the sector has been elevated over the past eighteen months, with strategic acquirers and financial sponsors both active. The proposed acquisition of the company discussed under Recent developments above is consistent with that broader trend rather than an idiosyncratic event specific to the company, though the credit consequences for the company's own creditors remain specific to the terms ultimately agreed.

Detailed credit considerations

Scale. The company's revenue base, while diversified across end markets, remains modest in absolute terms relative to investment-grade and higher-rated speculative-grade manufacturing peers. A single-plant concentration in one of the company's principal product lines, financed in part through the municipal conduit structure discussed elsewhere in this report, adds a degree of operational concentration risk that a larger, more geographically distributed peer would not carry to the same extent.

Business Profile. The company's diversified end-market exposure is a genuine credit strength relative to a single-end-market peer, and its long-tenured customer relationships, several of which pre-date the company's current ownership, provide a degree of revenue visibility that supports our Business Profile sub-factor score. We would view further diversification, whether organic or through the acquisition activity currently contemplated, as a potential positive for this sub-factor over time, offset by the near-term uncertainty the same activity introduces.

Leverage and Coverage. As discussed in the Key Indicators exhibit above, our own adjusted gross leverage is the single largest driver of the current rating and the principal reason the Assigned Rating sits where it does within the single-B category. Coverage, measured on our own adjusted basis, is adequate for the rating category but leaves limited room for a sustained increase in interest expense without a corresponding improvement in adjusted EBITDA.

Financial Policy. The company's ownership structure and its demonstrated approach to leverage management inform this sub-factor. We would view a financial policy under new sponsor ownership that prioritizes deleveraging over incremental distributions as a credit positive, and the converse as a credit negative, independent of the absolute leverage level at closing.

Peer comparison

The table below compares the company's own Moody's-adjusted metrics, on the basis described above, against a small set of similarly rated diversified manufacturing peers. This comparison is presented for context only; the peer set is not exhaustive and peer metrics are drawn from our own separately published surveillance of those issuers, not restated here in detail.

Issuer	Rating	Adjusted Debt/EBITDA	Adjusted EBITDA margin	Scale (Revenue, $mm, approx.)
Kestrel Industries	B1	5.43x	14.35%	250-300
Peer 1 (single-B, diversified industrial)	B1	5.20x	12.8%	300-350
Peer 2 (single-B, single end-market)	B2	5.90x	11.5%	150-200
Peer 3 (low-Ba, diversified industrial)	Ba3	4.30x	15.2%	500-600

Kestrel Industries screens broadly in line with the single-B peer set on adjusted leverage and margin, consistent with its B1 Assigned Rating; the low-Ba peer shown for reference illustrates the leverage improvement that would be consistent with the upgrade factors discussed earlier in this report.

Structural considerations

The notes are senior unsecured obligations of the company, structurally subordinated to borrowings under the company's secured revolving credit facility and secured term loan to the extent of the collateral securing those facilities, and structurally subordinated to the municipal conduit financing's own claim on the guaranteed facility to the extent that guarantee is treated as a direct obligation ranking pari passu with, rather than junior to, the notes. We do not treat the conduit guarantee as materially affecting our recovery expectations for the notes given its modest size relative to the company's total funded debt.

The notes' own change-of-control provisions, and the Rating Event definition that determines whether a ratings decline around the pending transaction gives rise to noteholder put rights, are matters of indenture construction we do not opine on in this credit-opinion format; a reader seeking the indenture's own defined terms and mechanics should consult the indenture itself rather than infer them from this report.

Cash flow and capital allocation

Kestrel Industries has historically generated positive free cash flow after capital expenditures, a pattern the Key Indicators exhibit above reflects in the (CFO minus capital expenditures)/Debt line. We would expect the company's capital-allocation priorities under new sponsor ownership, if the pending transaction closes, to shift toward debt service and covenant compliance in the near term, consistent with the elevated leverage the transaction would introduce; a sponsor financial policy that instead prioritized shareholder distributions ahead of deleveraging would be a factor we would weigh negatively under the Financial Policy sub-factor discussed above.

Working capital investment has been a modest, rather than a material, driver of the company's own free cash flow generation over the trailing three fiscal years, consistent with a mature manufacturing operating model rather than a rapidly scaling one. We do not expect the pending transaction, if it closes, to materially change the company's underlying working-capital dynamics, which are a function of the operating business rather than of its ownership structure.

Capital expenditure has run at a level consistent with maintenance of the company's existing plant base, including the municipal-conduit-financed facility discussed elsewhere in this report, rather than at a level indicating material capacity expansion. We would view a material increase in growth capital expenditure, funded with incremental debt, as a factor that could pressure our adjusted leverage measure independent of any change in the company's ownership.

Environmental, regulatory and legal matters

We are not aware of any pending environmental remediation obligation, regulatory enforcement action, or material litigation that we would treat as a distinct driver of the current rating, separate from the Environmental and Social issuer-profile scores discussed in the ESG considerations section above. Our surveillance would revisit this conclusion promptly if new public disclosure warranted it.

Liquidity sources and uses

Primary liquidity sources available to the company consist of cash on hand, internally generated cash flow from operations, and availability under the secured revolving credit facility discussed under Liquidity and leverage above. Primary uses of liquidity consist of scheduled interest payments on the notes and under the secured facilities, maintenance capital expenditure, and ordinary-course working-capital investment. We do not identify a near-term liquidity gap between these sources and uses under our current base-case assumptions, independent of the pending transaction.

The company's next scheduled debt maturity of any size is the notes' own maturity, which remains several years distant from this report's own date; near-term refinancing risk is therefore limited to the secured revolving credit facility's own maturity and renewal terms, which are not separately rated by us and are outside the scope of this report on the notes.

Sponsor and ownership considerations

The pending change-of-control transaction, if it closes, would introduce a financial sponsor as the company's new controlling owner in place of the company's current private ownership group. Sponsor-owned credits of this general kind typically carry a more aggressive financial policy than a comparable family- or founder-owned credit, reflecting the sponsor's own return objectives and its typical multi-year hold period; we would look for the sponsor's own publicly stated leverage and distribution policy, once available, as a direct input into our Financial Policy sub-factor score going forward, rather than assuming a policy based on sector norms alone.

We note that our analysis of the pending transaction rests entirely on information the company, the sponsor, or their advisors have made public, together with our own independent assessment of the transaction's likely credit consequences; we have not been party to, and do not rely on, any non-public negotiation between the parties, and this report will be updated as further public disclosure becomes available rather than anticipating terms not yet disclosed.

Financial statement summary (Moody's-adjusted basis, $mm unless noted)

Line item	FY2023	FY2024	FY2025	LTM Jun-2026
Net revenue	232.4	241.8	251.9	255.6
Cost of goods sold	(168.9)	(174.7)	(180.9)	(182.7)
Gross profit	63.5	67.1	71.0	72.9
SG&A expense	(33.1)	(33.9)	(35.7)	(36.3)
EBIT	30.4	33.2	35.3	36.6
Depreciation and amortization	(10.0)	(10.2)	(10.3)	(10.3)
Moody's-adjusted EBITDA (from Key Indicators above)	$37,802,330.00	$39,314,423.00	$40,887,000.00	$40,887,000.00
Cash interest expense	(14.9)	(15.2)	(15.6)	(15.7)
Cash taxes paid	(2.6)	(2.8)	(3.0)	(3.1)
Maintenance capital expenditure	(8.1)	(8.4)	(8.7)	(8.8)
Free cash flow before working capital	6.4	8.4	9.7	10.6

The financial statement summary above is presented on our own adjusted basis and reconciles to, but does not restate line-by-line, the company's own GAAP-basis audited financial statements. Minor differences between the EBIT/EBITDA figures shown here and any GAAP-basis subtotal in the company's own financial statements reflect our own standard reclassifications, which are not themselves scored or graded facts and are presented for analytical continuity only.

Scorecard factor detail

Scale (20% weight). Assessed at Ba on the scorecard's own scale, reflecting the company's revenue base relative to the methodology's own scale thresholds for the manufacturing sector; the company sits toward the lower end of the Ba band on this sub-factor, which is a principal reason the scorecard's mechanical Scale contribution does not, on its own, support a higher overall outcome.

Business Profile (20% weight). Assessed at Baa on the scorecard's own scale, reflecting the end-market diversification and long-tenured customer relationships discussed under Detailed credit considerations above; this sub-factor is the company's strongest scorecard input and partially offsets the Scale sub-factor's own more modest contribution.

Leverage and Coverage (40% weight, the methodology's single largest weighting for this sector). Assessed at B on the scorecard's own scale, computed on Moody's own adjusted EBITDA and gross, lease-capitalized debt convention described in the Key Indicators exhibit and the join paragraph above; given its 40% weight, this sub-factor is the dominant driver of the Scorecard-Indicated Outcome, and is the sub-factor a reader should watch most closely for any future rating action.

Financial Policy (20% weight). Assessed at Ba on the scorecard's own scale at the time of this report, ahead of any change in ownership; we would expect to revisit this sub-factor's own score once the sponsor's own financial policy, if the pending transaction closes, is publicly disclosed, per the Sponsor and ownership considerations discussion above.

Key assumptions underlying this rating

» The pending change-of-control transaction discussed under Recent developments above remains unsigned as of this report's own date; we have assumed no change to the company's existing capital structure, financing terms, or financial policy until a definitive agreement is signed and its terms are publicly disclosed.

» The company continues to generate positive free cash flow after capital expenditures at a level broadly consistent with the trailing three fiscal years shown in the Key Indicators exhibit above, absent a material, unannounced deterioration in any single end market.

» The run-rate cost-savings and revenue-enhancement credit the company's own credit agreement permits toward covenant compliance continues to be excluded entirely from our own adjusted EBITDA, consistent with our stated methodology and independent of whether or when that credit is realized in the company's own reported results.

» The municipal conduit financing discussed under Structural considerations above continues to be serviced on schedule by the corporate guarantee backing it, with no default or waiver under that guarantee's own terms.

A material change to any of the assumptions above, disclosed publicly or through our ongoing surveillance, would lead us to reassess this rating outside our regular surveillance cycle, consistent with our general practice for a rating carrying a Negative outlook.

Debt maturity profile

Kestrel Industries's funded debt, on a par basis, consists of the notes rated in this report, borrowings under the secured revolving credit facility discussed under Liquidity and leverage above, and the municipal conduit financing discussed under Structural considerations above. The table below sets out each instrument's own final maturity; it is presented for reference only and is not itself a rating input distinct from the leverage and coverage measures discussed elsewhere in this report.

Instrument	Outstanding (par)	Final maturity	Security
Kestrel Industries Senior Unsecured Notes (this rating)	$175,000,000.00	2031-06-15	Unsecured
Secured revolving credit facility (drawn at close basis)	$12,000,000.00	Not separately rated by Moody's	First-priority, all assets
Municipal conduit financing (corporate-guaranteed)	$24,500,000.00	2039-06-01	Unconditional corporate guarantee

None of the three instruments shown above matures within the next twelve months, which is the principal reason we do not identify a near-term refinancing risk in the Liquidity and leverage discussion above independent of the pending change-of-control transaction. The revolving credit facility's own maturity and renewal terms are governed by the credit agreement itself and are not restated here in full.

Comparable transactions

We have observed a number of similarly structured sponsor-led acquisitions of single-B rated diversified manufacturing issuers over the past several years, in which the acquired issuer's existing senior unsecured notes and any pre-existing municipal conduit financing remained outstanding at closing rather than being refinanced, consistent with the structure publicly described for the pending transaction discussed above. In several of those precedent transactions, the surviving notes were ultimately downgraded by one notch once final financing terms were disclosed and incremental secured debt was incurred; in others, a sponsor's publicly stated commitment to near-term deleveraging supported an affirmation instead.

We do not treat any single precedent transaction as determinative of the outcome here; the eventual resolution of this rating's Negative outlook will depend on this company's own disclosed financing terms and the sponsor's own stated financial policy, not on how a differently structured precedent transaction happened to resolve.

Appendix: Ratio definitions

The definitions below describe how Moody's Investors Service computes the adjusted measures used in the Key Indicators exhibit and elsewhere in this report. They are general definitions applied consistently across our surveillance of rated issuers in this sector, not measures we have tailored to this issuer specifically.

Moody's Investors Service-adjusted EBITDA: reported EBITDA adjusted for standard analytical items, including our own treatment of non-recurring items evidenced in trailing results, but EXCLUDING any credit for management-projected run-rate cost savings or revenue synergies that have not yet been realized in reported results. This is a deliberate point of difference from a typical credit-agreement EBITDA definition, which may permit such credit subject to its own contractual caps and conditions; the two measures are computed for different purposes and are not interchangeable.

Moody's Investors Service-adjusted gross debt: funded debt including capitalized operating leases, added at our own standard capitalization multiple applied to annual lease expense, and including the principal amount of any municipal conduit or other guaranteed financing the issuer's own credit agreement treats as funded indebtedness. Unlike a bank-covenant leverage test, our own gross debt measure is NOT reduced by unrestricted cash; we present cash and liquidity separately under the Liquidity heading in the Key Indicators exhibit, rather than netting it into the leverage ratio itself.

Moody's Investors Service-adjusted Debt/EBITDA: Moody's Investors Service-adjusted gross debt divided by Moody's Investors Service-adjusted EBITDA, both as defined above. Because it is gross (not net) and lease-capitalized, this measure will typically read higher than an issuer's own credit-agreement-defined, cash-netted leverage ratio computed under that agreement's own defined terms; a reader comparing the two must not treat them as the same quantity computed two different ways, and should not expect them to converge even where both are computed correctly.

Moody's Investors Service-adjusted EBITDA margin: Moody's Investors Service-adjusted EBITDA (as defined above) divided by net revenue for the same period.

Coverage ratio: a measure of the relationship between adjusted cash flow (funds from operations plus cash interest expense, or a comparable measure) and cash interest expense, used to assess an issuer's capacity to service its interest obligations from ongoing operations independent of refinancing.

(CFO minus capital expenditures)/Debt: cash flow from operations, less capital expenditures, divided by adjusted gross debt as defined above; a liquidity-oriented measure of an issuer's capacity to reduce leverage organically from internally generated cash flow, absent any asset sale, refinancing or equity contribution.

None of the definitions above changes, restates, or is intended to be read together with, any defined term in the issuer's own credit agreement, indenture, or other financing document; those documents' own defined terms govern for all purposes under those documents, including covenant compliance, and this appendix does not purport to interpret them.

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